is a greater role for the Union government in planning infrastructure assets that span many states.

Contracting is about establishing the PPP contracts through which private firms are given contracts to build this infrastructure. Regulating is about addressing the market failures of infrastructure monopolies in operation, which involves using state power to uphold quality of service and combat monopolistic pricing. Finally, the state does produce by virtue of owning some infrastructure assets, and an organizational framework is required for the governance and operations of those assets.

At the outset, we had pure state systems. The government would plan a road, the Public Works Department (PWD) would build the road, and roads were neglected after they were inaugurated. The first-level increase in skill lay in establishing the contracting capabilities for a private firm to build the road. This required a one-off transactional perspective. The complexity goes up greatly for a PPP contract, where the relationship between the government and the PPP vendor has to work out for many decades. This requires a higher level of capability and good behaviour by the government. [1]

Example 38: Healthcare

In the field of healthcare, it is useful to think in terms of the pillars of funding, regulating and producing. Funding pertains to channels through which public money goes to individuals who require healthcare. This may include expenditures on public hospitals, or on the new-age insurance schemes. Regulating pertains to establishing fair play by all healthcare providers, public or private. Finally, producing pertains to the ownership, governance and management of government hospitals. Once again, we see the tension where the persons involved in producing would like to monopolize the funding and have weak regulation upon themselves.